RESEARCH SUMMARY

Q2 Metals Corp

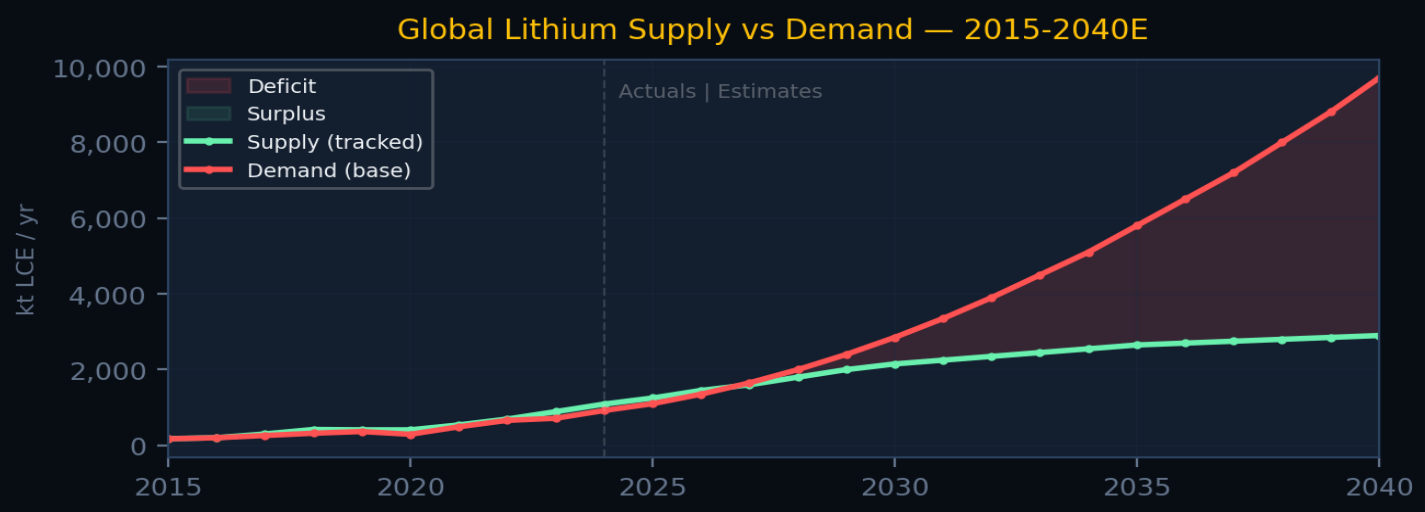
QTWO.V | Cisco Lithium Project

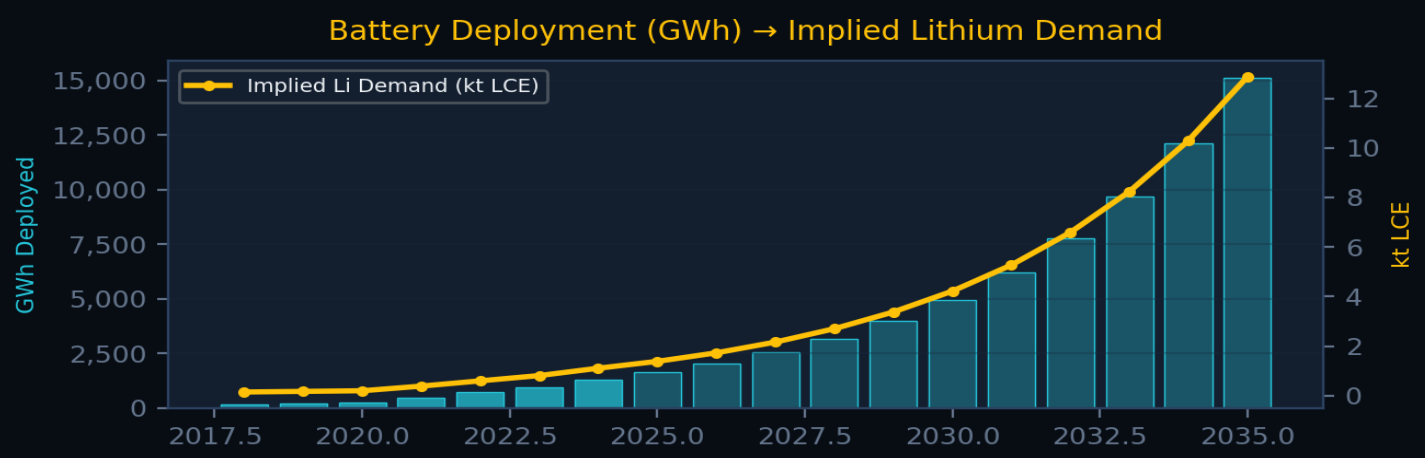
James Bay, Quebec, Canada | April 2026

295Mt	1.36%	Explorer	~$450M	$7/t
MRE	GRADE	STAGE	MKTCAP	EV/t LCE

The Lithium Supply Gap

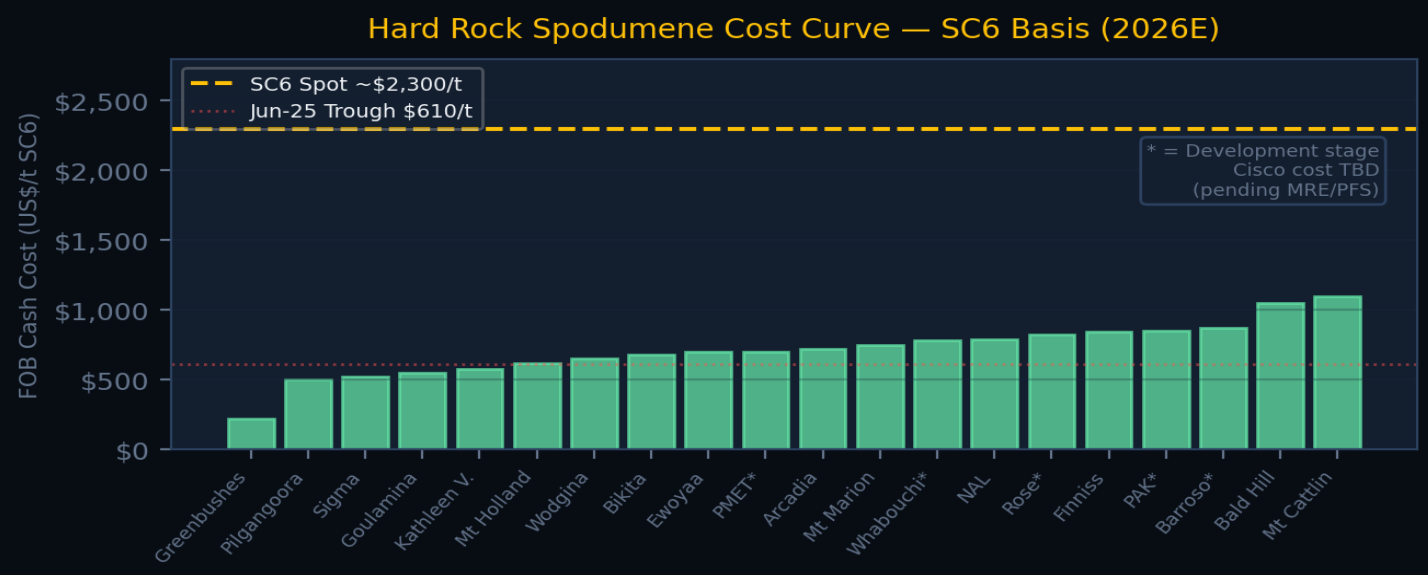
Battery deployments hit 1,300 GWh in 2024 and are compounding at 25%+ annually. BESS alone is growing at 35% CAGR. When you probability-weight the development pipeline (DFS at 50%, PFS at 35%, exploration at 15%), announced supply drops 20-30%. The structural deficit emerges by 2028-2029 under base case assumptions and widens dramatically through the 2030s.





Hard Rock Cost Curve — Who Survives?

At current SC6 spot (~$2,300/t), the entire hard rock cost curve is profitable. Greenbushes at $220/t is in a class of its own. The Australian mid-tier (Pilgangoora, Wodgina, Kathleen Valley) clusters around $500-650/t. Development-stage projects in Quebec and elsewhere estimate $700-870/t. The marginal producer sets the floor price — when spod drops below their cost, they shut down and supply tightens. This is exactly what happened in H1 2025 when SC6 hit $610.



Where Would Cisco Sit on the Cost Curve?

Cisco does not yet have a PFS or cost estimate. However, we can benchmark against comparable Quebec spodumene projects. Nemaska (Whabouchi) estimates ~$780/t SC6. Patriot (Shaakichiuwaanaan) estimates ~$700/t at scale. NAL operates at ~$791/t. Given Cisco's location advantages — proximity to the Billy Diamond Highway (6.5km), Hydro-Quebec power, and rail at Matagami (150km) — a reasonable estimate places Cisco in the $650-800/t range on the SC6 cost curve once developed. At a 295Mt resource at 1.36% Li2O, this would be one of the largest and lowest-cost hard rock deposits in the James Bay camp.

QUEBEC JAMES BAY COST COMPARISONS

Project	Company	SC6 Cost ($/t)	Resource (Mt)	Grade (Li2O%)	Status
Cisco	Q2 Metals	$650-800*	295	1.36	MRE complete
Shaakichiuwaanaan	Patriot (PMET)	~$700	159	1.42	PFS
Whabouchi	Nemaska	~$780	56	1.40	Construction
NAL	Sayona	~$791	42	1.16	Operating
Rose	Critical Elements	~$820	35	0.85	DFS

* Estimated based on comparable projects. Cisco PFS/cost study pending.

Location & Infrastructure

The Cisco Lithium Project is located in the Eeyou Istchee James Bay region of Quebec, Canada — the same geological corridor as Patriot Battery Metals' Shaakichiuwaanaan and Nemaska's Whabouchi. The project comprises 801 mineral claims totaling 41,253 hectares.

KEY INFRASTRUCTURE ADVANTAGES

Billy Diamond Highway	6.5 km from main mineralized zone — year-round road access
Hydro-Quebec Power	60-150 km to transmission lines — low-cost, clean hydroelectric
Rail Access (Matagami)	~150 km south — CN Rail connection for concentrate shipping
Becancour Battery Hub	Quebec's lithium conversion corridor — downstream processing growth
Mining Jurisdiction	Quebec — consistently ranked top-5 globally for mining investment
Cree Nation Partnership	Within Nemaska traditional territory — engagement ongoing

Geology & Drill Results

The Cisco deposit is a continuous spodumene pegmatite body extending 1.8 km in strike length with thickness ranging from 2m to over 450m. The MRE establishes 295Mt of inferred mineral resources at 1.36% Li2O — making it one of the largest undeveloped hard rock lithium deposits globally. 74 drill holes for 31,961m have been completed to date.

KEY INTERCEPTS

CS25-044	457.4m @ 1.65% Li2O
CS25-044	+ 297.3m @ 1.30% Li2O
CS25-068	170.2m @ 1.99% Li2O
incl.	40.1m @ 2.89% Li2O
CS25-061	179.2m @ 1.24% Li2O
CS24-038	95.1m @ 1.56% Li2O

[Cross-Section Image]

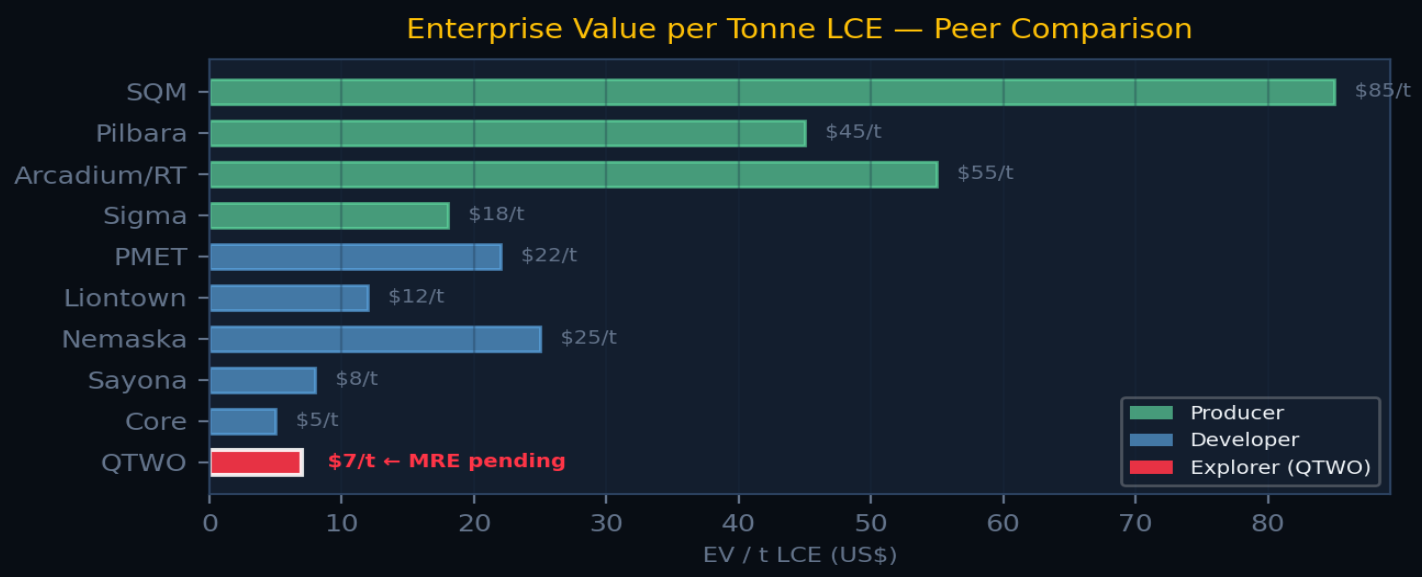
Insert geological cross-section
from QTWO press releases

[Drill Hole Plan View & Location Map]

Insert plan view showing drill hole locations, mineralized zone outline,
and proximity to Billy Diamond Highway from QTWO press releases

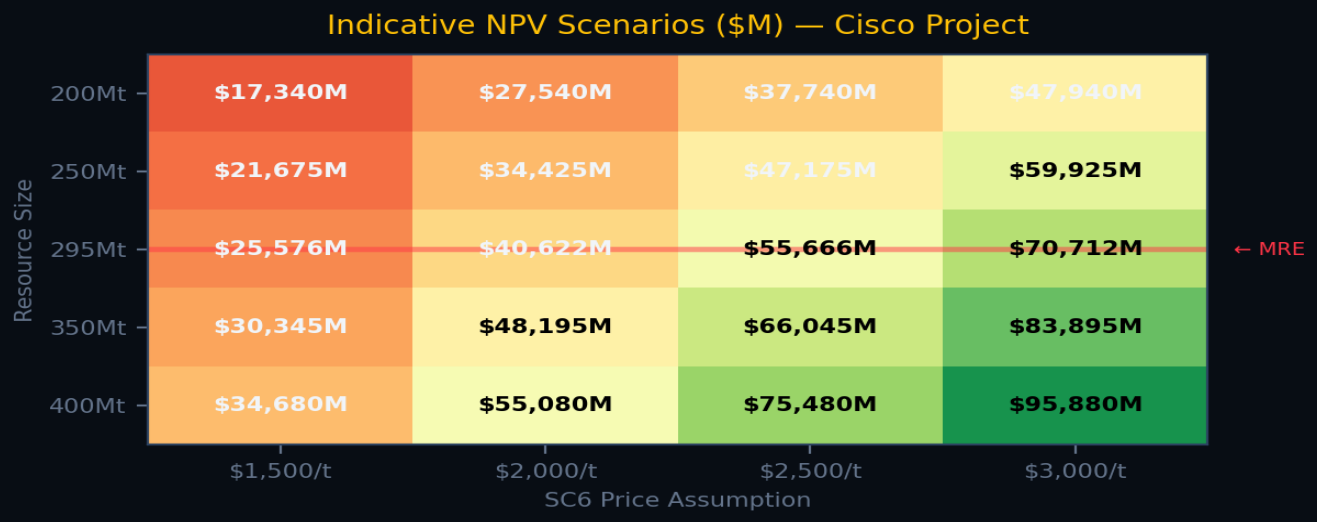
Peer Valuation — EV / t LCE

At ~$7/t LCE on an enterprise value basis, QTWO trades at a significant discount to comparable developers and explorers. Patriot Battery Metals peaked at $2.4B market cap (>$50/t LCE) without an MRE or PEA. Post-MRE re-rating potential is substantial if the resource confirms the exploration target quality. The 295Mt MRE at 1.36% Li2O positions Cisco as the largest inferred resource in the James Bay camp.



Scenario Analysis — Indicative NPV

The heatmap below shows indicative project NPV across resource size and SC6 price assumptions. The 295Mt MRE row is highlighted. At current spod prices ($2,300/t), the project screens well even at conservative resource assumptions. At $2,500+/t SC6 and 300Mt+, the numbers become compelling relative to current market cap (~$450M).



Key Catalysts

MRE Complete (Q1 2026)

Inferred resource of 295Mt at 1.36% Li2O now published. De-risks the tonnage and grade thesis.

PEA / Scoping Study

Expected to follow MRE. Will establish preliminary economics, mine plan, and CAPEX. Critical for re-rate.

Metallurgical Test Work

Spodumene recovery rates and concentrate quality. Key for downstream offtake discussions.

2026 Drill Program

Resource expansion and infill drilling. Potential to grow beyond 295Mt and upgrade to Indicated.

Lithium Price Recovery

SC6 prices have recovered from $610 trough to ~$2,300. Further recovery supports project economics.

M&A / Strategic Interest

James Bay lithium assets attracting major interest (Rio Tinto/Arcadium, Albemarle). Cisco is a logical target.

Key Risks

Exploration Risk	Resource is 100% inferred. Grade and continuity may change with further drilling and classification.
Permitting & Environment	Lake Evans proximity and Cree territory. Environmental assessment and community engagement required.
Metallurgy	No recovery test work published yet. Spodumene quality and processing characteristics unconfirmed.
Lithium Price	Project economics are sensitive to lithium/spodumene prices. A return to 2024 trough levels would challenge development.
Financing	Significant CAPEX required to develop. Equity dilution or strategic partner needed.
Timeline	Exploration-to-production timeline is typically 5-8 years. Execution risk on permitting, construction, and commissioning.

DISCLOSURE

The author holds a position in Q2 Metals Corp (QTWO.V). This report is for informational purposes only and does not constitute financial advice or a recommendation to buy, sell, or hold any security. All data sourced from public company filings, USGS, IEA, and third-party research. Readers should conduct their own due diligence before making investment decisions.